

Unit 3**Socio Cultural Environment****Structure:**

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3.1 Introduction

In the previous unit, you learnt about the political environment of business and how it affects business. In this unit, we will discuss the social environment of business. Business operates in the social system and is influenced by the elements of society. Society in turn is also affected by business. Great companies help create a prosperous society. The cultural dimensions of society form part of the social environment. The cultural aspects are important for the aspects of business like product development, promotion, business negotiations, human resource management and marketing of the product. We know of products introduced by multinational companies in India that were failures and had to be reintroduced, to adapt to

the Indian tastes and preferences. Mac Donalds in India had to introduce vegetarian food in the menu. Similarly, Pizza Hut introduced Indian flavors in the menu. Kellogs had to change its marketing strategy as breakfast cereal is not a way of having breakfast in India. Cultural aspects of society are also important when negotiating with foreign companies. Hence, cultural aspects have an influence on the way of doing business in any country. Social change is brought about by a number of factors - technological, cultural, demographic, biological, economic, environmental, political, psychological etc. In this unit, we will learn the different characteristics of the social and cultural environment and understand how they can affect the business environment.

Objectives:

After studying this unit, you should be able to:

- state the nature of the social environment and its importance to business.
- recognize the cultural environment of business.
- demonstrate the linkage between society and business.

3.2 Business and Society

Social system and business environment are related to one another. The type of products that a firm produces, the way the business should be organized, the marketing strategies to be employed, the values and norms that it should follow are all influenced by the way the business functions. The way the business functions, the innovations, the products offered, affect society and influence the social attitudes, values, customs etc. A business has to adapt to these uncontrollable elements of the social environment. Social environment of business means all factors which affect business socially.

3.2.1 Changing Concept of Business

The traditional objective of Business was profit maximization. The modern outlook is however different. For many firms, profit nowadays is secondary. The definition of business as a commercial activity to make only profits is a narrow one. Today business is a social institution forming an integral part of the social system. It has a huge influence on the way people live and work. Business cannot isolate itself from the rest of society. Today the whole

society is considered the business environment. Three significant ideas are important that relate society to business.

- (i) **Values:** Each business organization develops certain beliefs, systems and values for which they stand and which are a source of institutional drive. These are determined by:

- mission of business as a social institution
- the nation/region where the business is located
- the type of industry
- nature of its employees

These values become the guides and motivators for decision making within the organization.

- (ii) **Viability:** Viability is the defining factor which drives us to live, to grow, to achieve the best possible. This tells us that instead of firms adjusting to outside forces, firms have to initiate forces which can create changes in the environment.

- (iii) **Public visibility:** Public Visibility refers to the extent that an organization's activities are known to persons outside the organization. While public image refers to what people think about an organization's acts, public visibility refers to the extent to which its acts are known. Hence both are different. The importance of public visibility is that it subjects business activities to discussion and judgment by people.

Thus according to the modern thinking, business is an integral part of the social system. It is a social organ to help accomplish the social goals.

3.2.2 Effect of Society on Business

There are three main elements of a society that have a direct effect on the business environment in a certain region. Every business works in a society, so society's different factors like family, educational institutions and religion affect business. Now these may differ from one country to another, from one state to another or from one city, town to other regions.

- (i) **Family:** Family is a basic part of society from the birth of a person until his death. A person lives in a family, so personal decisions of buying and selling of goods are affected by the family's point of view. For example, in the culture of a family, it may happen that parents do not support use of a certain product, then sales of such a product will decrease, if most families in a certain region think in a certain way. So

businessmen must analyze the family's needs. Many occasions like marriage of a family member, can increase the demand of goods.

- (ii) **Educational institutions:** Educational institutions are also an important part of society. They provide knowledge, education, and awareness. Thinking what students should buy or not buy can be useful while starting production. Suppose a student is habituated to drinking tea and if his teacher advises him that this is harmful to his health, after his guidance the student may avoid drinking tea, leading to a decrease in the sale of tea.
- (iii) **Religion:** Religion has its influence on society. Religious traditions and rituals impose different ways of life. People following a particular faith may abstain from certain products and food substances. Companies must keep in mind the religious sentiments when marketing or introducing new products.

3.2.3 Professionalization

A professional is one who possesses systematic knowledge and skills to perform certain responsible functions with authority and ethics. A professional has enormous responsibilities since he/she cannot use knowledge, skill and authority unscrupulously. He shall not knowingly do harm to his customers. Thus, professional people are those:

- Who have formally acquired the specialized knowledge and skill for management;
- Who have authority and freedom to take the right decision;
- Who have no ideological bias in the discharge of functions; and
- Whose decisions and actions are guided by certain ethical considerations.

Professionalization makes business more efficient, dynamic and socially responsible. The growth of management education has contributed to professionalism in the business field.

3.2.4 Business Ethics

Business ethics refers to the system of moral principles and rules of conduct applied to business. Business should not conduct itself in a way detrimental to the interests of society. A profession is bound by certain ethical principles and rules of conduct, which also are a part of professionalization. Every individual in society should abide by certain moral codes, certain norms

which comprise business ethics. Rotary International developed its Code of Ethics which uses four questions for any ethical issue a business faces.

- Is it the truth?
- Is it an unbiased decision?
- Will it build goodwill and better environment?
- Will it be beneficial to all concerned?

Given below are some unethical practices that a business should avoid:

- (i) Deceiving customers by selling sub-standard or defective items, by underestimation or any other means is not to be done.
- (ii) Hoarding, black-marketing is not to be done.
- (iii) Destroying or distorting competition is not to be done.
- (iv) Honesty should be shown while advertising, labeling and packaging.
- (v) The image of the competitors cannot be tarnished by unfair practices.
- (vi) Accurate business records should be made.
- (vii) Taxes and other obligations should be paid promptly.
- (viii) No cartel agreements formal or informal should be formed to control price etc
- (ix) Kickbacks or payoffs to politicians are to be refrained from.
- (x) Payment of fair wages and fair treatment to all employees should be ensured.

Self Assessment Questions

1. In the modern outlook, profit maximization is a primary motive of business. (True/False)
2. *Select the right option.*
What people think of an organization's actions is called:
 - a) Public image
 - b) Public visibility
 - c) Viability
 - d) Values
3. The three main elements of a society that have a direct impact on business are: 1._____, 2._____ and 3._____
4. _____ developed the code of ethics which uses four questions for any ethical issue a business faces.

3.3 Business and Culture

Culture is a complex factor crucial to understanding the business environment. Multinational Companies, many times, face problems in understanding the cultural differences. The failure of managers to comprehend fully the disparities has led to most international business blunders.

According to Geert Hofstede, a noted Dutch writer and academic “culture is the software of the mind”- the social programming that runs the way we think, act and perceive ourselves and others. It implies that culture is a learned behavior and hence can be changed.

Culture is the human product of social interaction. It provides socially acceptable patterns for meeting social needs. It is handed down from generation to generation. It is learned in the course of a person’s development in a particular society. Culture consists of material culture (involving manmade things e.g. automobiles, clothing etc.) and non material culture (involving ideals, beliefs, values, language etc.).

3.3.1 Elements of Culture

Cultural characteristics are very important in the formulation of business strategies. There are different types of culture across the world and each culture has its unique essence. While defining the term ‘culture’, there are several elements that together constitute the culture of a particular region or the culture of particular people.

- (i) **Language:** Language is more than a means of communication. It affects our culture and even our thought processes.
- (ii) **Ideals:** Every society or every civilization has a set of norms which is an important part of the culture. They are what is expected, customary, right or proper in a given situation. This can include the folklores, mores, taboos and rituals in a culture.
- (iii) **Values:** The social values of a particular civilization are also considered as an element of the culture. The values often refer to the things to be achieved or the things which are considered of great worth or value in a particular culture.
- (iv) **Religion and beliefs:** The religion and the beliefs of the people in a civilization play an important role in shaping up of the culture as well.

The beliefs include the people's prevailing notions of reality. They include myths and metaphysical beliefs as well as scientific realities.

- (v) **Social collectives:** Social collectives refer to the social groups, organizations, communities, institutions, classes, and societies, which are considered as symbolic social constructions.
- (vi) **Status and roles:** A status or a social role is nothing but a slot or position within a group or society, which gives an overall idea of the social structure and hence is an important element of culture. This can also include traditional gender-based or age-based roles.
- (vii) **Cultural integration:** This includes the degree of harmony or integration within the various elements of culture. This can include elements like sub-cultures, local cultures and the difference between historical and cultural traditions.
- (viii) **Preferences:** This refers to society's definition of things in life that are attractive or unattractive as objects of desire. Many times it is seen that things which are tasteful in one culture might be distasteful in another. Thus culture many times provides the standards of tastes in specific lines of human activity.

3.3.2 Organization of Culture

The term organization of culture refers to the social structure and the integration of traits, complexes and patterns that make up the cultural system. Stratification, i.e. differentiation based on criteria such as age, sex, caste, occupation, education, income etc. is an important aspect of the social structure and the cultural organization. It is important to recognize such roles and ranks for effective negotiation. The important institutions of modern culture are the political system, administrative system, educational system, religion, family etc. Culture traits, complexes and patterns also help us understand the organization of a culture. These may differ from one community to another.

3.3.3 Cultural Adaptation

It refers to the manner in which a social system or an individual fits into the physical or social environment. The social system maybe a small group such as a family, or a larger group such as an organization, or the entire society like a tribal society. Adaptation is essential for survival. The type of food, clothing, type of climatic and weather conditions are forms of

adaptations. Cultural adaptation can be considered in a very wide context. For example the energy crisis has led us to think in terms of modifying our energy policy and more research in alternative energy resources. Adaptation is relevant at the individual level as well. A worker who becomes a member of a trade union has to fit into the objectives, rules and ways of the union. One who joins a new organization will have to adapt to the new environment. A firm and its people will have to adapt to the environment of the different markets.

3.3.4 Cultural Shock

Environmental changes often produce cultural shocks. This includes a feeling of anxiety, confusion and insecurity caused by a strange new environment. People or firms have to adapt to a new culture if they want to survive. Proper study to understand the culture can help avoid the shock.

3.3.5 Cultural Transmission

The elements of the culture are transmitted among the members of the culture, from one generation to the next and to the new members admitted into the culture. Some aspects of one culture can be transmitted to another culture also. Every generation inherits a stock of cultural elements many of which have been accumulated over a long period of time. Cultural behaviors are handed down by parents, teachers, elders or others in the same family or society. A lot of transmission takes place from contemporaries e.g., dressing styles, types of books, movies, technology and political, social and economic views. Thus cultural transmission takes place vertically as well as horizontally. Transmission also causes cultural diffusion by the spread of culture from one place to another.

Self Assessment Questions

5. *Fill in the blanks:*

The different elements of culture are language, ideals, values, religions and beliefs, _____, status and roles, _____ and preferences.

6. Differentiation based on criteria as age, sex, caste, occupation, education is called _____.

7. The energy crisis has led us to think in terms of modifying our energy policy and more research in alternative energy resources. This is a form of
- a) Cultural adaptation
 - b) Cultural transmission
 - c) Cultural shock
 - d) Organisation of culture

3.4 Indian Business Culture

India is a culturally rich and diverse country where one can see varied array of languages, religions, castes and regionalism. Hence, the Indian business culture is an extension of the common culture. While doing business in India, every organization has to consider all these factors before formulating its business plans and take necessary actions of society. However, in Indian business culture, the behavior, etiquette and approach of organizations and their professionals change according to the addressee and the context of address.

Language

India is a multilingual country with each of its states having different official languages. However, Hindi is the only officially recognized language in the country. While talking on Indian business culture, English is the most preferred language, which is followed religiously in every industry.

Meetings, greetings and courtesies

In India, people greet each other by saying 'Namaste', while conjoining the palms together below the chin (position of fingers would point up) and nodding the head. One can also do this while saying good-bye. Use of the namaste will show that you understand Indian culture. While greeting superiors or showing respect to someone, a slight bow is added. In Indian business culture, people also greet each other by a handshake. In a one-to-one meeting with a male counterpart, a woman usually initiates a handshake. If the woman doesn't, the man will smile and nod slightly. While greeting an individual, people use an appropriate formal title. One can also add 'ji' after the title to show respect for the person he/she is greeting. While meeting a person or client for a business purpose, always exchange business cards at the first meeting. You must exchange the cards only with your right hand. Cards must be put away with due respect.

Relationship building

In Indian business culture, business development largely depends upon relationship building. Indians tend to give favorable deal to those whom they know and trust. Hence, a good way to earn business is to earn the trust of the customers first. You can earn the trust of people by demonstrating strong business insight, showing honesty and respect.

Meetings

Any business meeting has to be arranged well in advance. These have to be fixed in writing and confirmed by phone. It is better to avoid fixing meetings on or near national holidays like Independence Day, Republic Day, Gandhiji's Birthday or either of the two Ids. People often club their leaves to enjoy extended holidays during this time.

Time

Indians value punctuality in others, but they often lag behind schedule themselves. A 10-minute late is acceptable in most of the cases. It can also be seen that family responsibilities get preference over business, which leads to last minute cancellation of meetings, though not quite often.

Inside the meeting room

After entering into the meeting room, one must approach and greet the senior-most figure first. Every meeting usually has some 'getting to know you' process, where the meeting starts with some initial conversation. The favorite topics are business news, how stock market is doing, or the game of cricket. It is good to avoid discussing personal matters. If you are new to India, it is always better to refrain from commenting on volatile issues like poverty or beggars.

Process

If your business meeting involves negotiation, be prepared for a slow process. In Indian business culture, decision is taken at the highest level and may take more time than one had expected. You can't get a favorable decision unless you can establish the trust of the client. Until the trust is not established, you should concentrate on building a rapport with the client. As the decision is taken at the highest level, absence of any higher-position holder like Director or owner indicates that it is only the early stage of negotiation.

Decision

Statistics, empirical data or commendable PowerPoint presentation cannot solely influence the business decision. Indians tend to reckon intuitions, feelings and faiths before they reach any decision. You must show your patience and good character before any final verdict comes out. You cannot afford to show frustration or anger.

Negotiation

One should refrain from putting high pressure tactics while negotiating with the clients. Do not confront or be forceful. If you are to disagree or criticize, you need to do it in the most diplomatic language. Indians do not say "no" directly, as it is often considered rude. If during the negotiation process, you come to the terms like "We'll see", "possibly" or "We'll try", there is every possibility that they are indicating a 'no'.

Business attire

Business culture in India demands formal attire. Men usually wear formal shirts and pants. Suits or Blazers are also quite worn, often during the winter. Women wear saris or suits. On the last working day of the week, people often wear casuals. However, that has to be a decent one.

3.4.1 Some insights into the Indian way of life

- The concept of 'izzat' – self-respect or saving face affects daily life in India
- Indians tend to prefer the birth of male children
- the differences between India's castes and classes of castes are very vital in majority of the regions in the country
- the role of Karma (work) and dharma (religious beliefs) play in Indian daily life
- the intricacies of customs involving the whole family is the way of life
- the role family plays in the daily life of people is much more than most other countries
- people rarely respond with an outright "no"
- in general in India people cannot take criticism well
- women are supposed to have a whole lot of values which are in many ways different from their male counterparts
- Indians are known for their hospitality

- religious pictures or statues at homes carry deep inner beliefs and are to be respected
- in many parts of the country people love to gossip a lot over tea or coffee

Self Assessment Questions

8. _____ is the preferred language of communication in Indian business.
State true/ false:
9. In Indian business culture, business development largely depends upon relationship building.
State true/ false:
10. Indians do not say "no" directly, as it is often considered rude.
11. Which of the following statements are true regarding Indian culture?
 - a) Indians are known for their hospitality
 - b) people usually respond with an outright "yes"
 - c) in general in India people take criticism well

3.5 Culture and Organizational Behavior

The cultural impact on management is reflected by several basic beliefs and behaviors. Let us see certain cases where the culture of a society can directly affect management approaches and organizational behavior.

Centralized vs. Decentralized Decision Making:

In some societies, decision making is mainly done by top managers. In some other societies decision making is done either by middle and lower-level managers or by others diffused throughout the enterprise.

Safety vs. Risk

Some organizational decision makers are risk averse and have problems with conditions of uncertainty. Others take risks more easily and in fact encourage them. This is many times related to society.

Individual vs. Group Reward

Based on a person's individual work, sometimes individual bonuses or commissions are given. In other cases, cultural norms may cause group rewards to be given rather than individual rewards. Whether the rewards improve performance of employees or affect negatively due to jealousy or other causes many times is dependent on society.

Informal vs. Formal Procedure

In some societies decision making happens many times through informal means, while in others there are formal meetings, procedures etc., which are strictly adhered to.

High vs. low Organizational Loyalty

In certain societies we have people who identify very strongly with their organization or employer. In others, we find people relating more by their occupational group, such as engineers, managers, doctors etc.

Cooperation vs. Competition

In certain societies people love to cooperate with one another more while in others we have people competing with one other more than anything.

Short Term vs. Long Term Horizon

In terms of choosing objectives some societies like to think more about the short term goals of achieving profit and efficiency. Others are more interested in long term goals like market share and technological development.

Stability and Innovation

Certain groups of people love stability and they would always create resistance to change. Others on the other hand encourage change and try to encourage innovation.

All the above characteristics thus directly affect the business environment, the internal as well as the external.

3.5.1 Influence of culture on communication and decision making

The last decade has seen the impact of globalization on the way organizations perform their routine activities. There is a greater focus on project management in order to be in sync with the fast changing environment. With globalization the boundaries for business is diminishing day by day. There is greater movement of people between different countries and cultures. With expansion of multinational organizations in international markets, there is a need to understand the cultural dimensions of different countries. Communication in multicultural teams has a high degree of effect on team performance. The cultural factors have a major impact on communication in multicultural project teams. Many multinational companies recruit people from different cultures. National cultures influence

decision making and is very important for managing mixed-culture teams. It also provides the insight for the project teams to have concern for and understand why people from different cultures act or respond to various situations giving emphasis to decision making process.

In many countries, culture continues to dominate most aspects of communication. There are significant differences and similarities in communication styles of different teams, and the differences are mostly attributed to have strong links with cultural aspects. Also there are significant differences in decision making styles of different teams, and the differences have strong links with cultural aspects. Specially with increasing economical changes the traditional patterns of behavior in communication are changing with time. The major implication is that the knowledge of the cultural differences and similarities would facilitate better team performance. Also knowledge of the cultural differences and similarities would facilitate better management. Therefore, by keeping in mind the importance as well as the impact of various national cultures and presenting each member with social working knowledge of peers and a better understanding and knowledge about social background of the team mates within the mixed-culture team, arguments and conflicts due to misconception and pre-judgment can be minimized. Hence it will increase the efficiency and effectiveness of the working process and environment in the project teams, working in multicultural environment.

3.5.2 Technological development and social change

Technology is an important determinant of social change. Development of new techniques, new inventions, and new modes of production are all creating a rapid change in our society. Social attitudes, beliefs, traditions are changing. We are hearing of marriage through the internet, for example. Social life and the status of women itself has changed drastically. Women now work hand in hand with their male counterparts in factories; offices and the concept of sharing household work by all members have come in. 'Ready to eat' food, better processing and preservation of food and better appliances in the kitchen and for other domestic work have helped women come out of their kitchens to work in the outside world.

The impact of the developments in better automobiles, communication services has made vast changes in the society with information exchange

happening faster and faster every day. The changes affect the media services to a great extent causing the social distance between urban and rural areas to reduce considerably.

Technological developments have also, in certain cases created some adverse effects on society, pollution for example. But the huge change in society because of technological changes is indeed a huge factor which affects the business world in a great way.

Self Assessment Questions

State whether the following statements are true/ false:

12. When decision making is done by the top managers, it is centralized decision making. (True/ False)
13. Rewards to employees may be given individually or as a group. (True/ False)
14. Market share and technological developments are long term goals. (True / False)
15. Technology is an important determinant of change. (True/ False)

3.6 Summary

Let's recapitulate the important concepts discussed in this unit:

- Business and society are intertwined with each other and influence each other greatly. Maximization of profits is no longer the sole objective of an organization.
- Business and society are intertwined, based on values, viability and public visibility.
- Every business works in a society, so society's different factors like family, educational institutions and religion affect business.
- Professionalization makes business more efficient, dynamic and socially responsible. The growth of management education has contributed to professionalism in the business field.
- A profession is bound by certain ethical principles and rules of conduct which also are a part of professionalization.
- Cultural characteristics are very important in the formulation of business strategies.

- The term organization of culture refers to the social structure and the integration of traits, complexes and patterns that make up the cultural system.
- Cultural adaptation refers to the manner in which a social system or an individual fits into the physical or social environment.
- The elements of the culture are transmitted among the members of the culture, from one generation to the next and to the new members admitted into the culture.
- While doing business in India, every organization has to consider the various aspects of Indian culture.
- Culture affects management approaches and organizational behavior.

3.7 Glossary

- **Values:** Each business organization develops certain beliefs, systems and values for which it stands and which is a source of institutional drive.
- **Viability:** Viability is the defining factor which drives us to live, to grow, to achieve the best possible
- **Public visibility:** Public Visibility refers to the extent that an organization's activities are known to persons outside the organization.
- **Professional:** Is one who possesses systematic knowledge and skills to perform certain responsible functions with authority and ethics.
- **Business ethics** refers to the system of moral principles and rules of conduct applied to business.
- **Culture** is the human product of social interaction. It provides socially acceptable patterns for meeting social needs.
- **Cultural adaptation:** It refers to the manner in which a social system or an individual fits into the physical or social environment.

3.8 Terminal Questions

1. How has the concept of business changed over time?
2. What are the elements of society that affect business?
3. "Knowingly do no harm" is a part of business ethics. What are the activities considered unethical in business ?
4. How is doing business in India affected by the Indian culture?
5. State some ways by which culture determines organizational behavior?
6. How does technological change create social change?

3.9 Answers

Self Assessment Questions

1. False
2. a) Public image
3. 1. Family, 2. Educational institutions, 3. Religion
4. Rotary International
5. Social collectives, cultural integration
6. Stratification
7. a) cultural adaptation
8. English
9. True
10. True
11. a, b
12. True
13. True
14. True
15. True

Terminal Questions

1. Traditionally, business operated primarily for profit. This view has now changed. Refer Sec. 3.2.1.
2. Every business works in a society, so society's different factors like family, educational institutions and religion affect business. Refer Sec. 3.2.2.
3. Business should not conduct itself in a way detrimental to the interests of society. For activities considered unethical refer Sec. 3.2.4.
4. While doing business in India, every organization has to consider all these factors before formulating their business plans and take necessary actions for the society. Refer Sec. 3.4.
5. The cultural impact on management is reflected by several basic beliefs and behaviors Sec. 3.5.
6. Technology is an important determinant of social change. Development of new techniques, new inventions, and new modes of production are all creating a rapid change in our society. Social attitudes, beliefs, traditions are changing. Sec. 3.5.2.

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